

# LP Due Diligence Question Bank

40 questions allocators use to evaluate venture fund managers, organized by the eight tests LPs run before they commit.

From the VC10X playbook *How LPs Evaluate Venture Fund Managers*, built from on-record conversations with twelve allocators.

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## If you're an LP

Bring it to manager meetings. Score each test from 1 to 5 and compare managers on the summary page, or online at [vc10x.com/manager-scorecard](https://vc10x.com/manager-scorecard).

## If you're raising a fund

Answer every question before your first LP meeting. The ones you can't answer are your work list.

Read the full playbook: [vc10x.com/playbooks/how-lps-evaluate-venture-fund-managers](https://vc10x.com/playbooks/how-lps-evaluate-venture-fund-managers)

# The eight tests

A manager doesn't need a perfect score on all eight, but a clear fail on any one usually ends the conversation.

| # | TEST                     | WHAT THE LP IS REALLY ASKING            | WHAT PASSES                                            |
|---|--------------------------|-----------------------------------------|--------------------------------------------------------|
| 1 | <b>Focus</b>             | Why will you win?                       | A narrow focus and an advantage you can prove          |
| 2 | <b>Picking</b>           | Can you choose, not just see?           | Clear reasoning on the deals you passed on             |
| 3 | <b>Skill or luck</b>     | Will it happen again?                   | A deal-by-deal story that matches your strategy        |
| 4 | <b>Attribution</b>       | Is the record really yours?             | References that confirm your actual role               |
| 5 | <b>Fund construction</b> | Does the fund fit the strategy?         | Earned ownership and a size planned around it          |
| 6 | <b>People</b>            | Would I want you beside me in a crisis? | Behavior, not promises, that shows alignment           |
| 7 | <b>The numbers</b>       | What's behind the IRR?                  | Clean cash flows, conservative marks, a liquidity plan |
| 8 | <b>Conviction</b>        | Is this expertise or a trend?           | Evidence you were there before the theme got hot       |

## Take them off script

Read the materials first, skip the pitch, and choose the companies to discuss yourself.

## Verify, don't accept

Find at least one reference yourself, outside the list the manager gives you.

## Score as you go

1 = clear fail, 3 = acceptable with gaps, 5 = strong evidence. Note why.

## Focus

Why will you win?

SCORE

|   |   |   |   |   |
|---|---|---|---|---|
| 1 | 2 | 3 | 4 | 5 |
|---|---|---|---|---|

**What passes:** A narrow focus and an advantage you can prove

- 1 In one sentence, what is your focus, and why are you the right team for it?  

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- 2 Why should the best founders in your area choose you over the five to ten funds they'll also speak with?  

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- 3 What evidence shows your advantage works: competitive rounds won, founders who referred others?  

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- 4 Which part of the market are you deliberately not pursuing, and why?  

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## Picking

Can you choose, not just see?

SCORE

|   |   |   |   |   |
|---|---|---|---|---|
| 1 | 2 | 3 | 4 | 5 |
|---|---|---|---|---|

**What passes:** Clear reasoning on the deals you passed on

- 5 Tell me about a company you passed on. Why, and what happened?  

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- 6 Tell me about a company where you chose not to invest more. What did you see?  

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- 7 In your best deals, why did the founder choose you over other investors?  

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- 8 In competitive rounds you lost, why did the founder pick someone else?  

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9 What did you do for a company in its first year that another investor couldn't have?

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TEST 3 OF 8

## Skill or luck

Will it happen again?

SCORE

|   |   |   |   |   |
|---|---|---|---|---|
| 1 | 2 | 3 | 4 | 5 |
|---|---|---|---|---|

**What passes:** A deal-by-deal story that matches your strategy

10 Walk me through one investment: how it was sourced, how competitive the round was, and what the thesis was.

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11 Walk me through a company that failed. What did you learn, and what changed?

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12 Which of your best outcomes came from the strategy, and which were luck?

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13 Where have you deviated from your thesis, and why?

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14 How will this strategy hold over your next three funds, not just this one?

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TEST 4 OF 8

## Attribution

Is the record really yours?

SCORE

|   |   |   |   |   |
|---|---|---|---|---|
| 1 | 2 | 3 | 4 | 5 |
|---|---|---|---|---|

**What passes:** References that confirm your actual role

15 For each deal in your record, what was your specific role: sourcing, leading, board work?

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16 Who at your prior firm can confirm that role?

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17 Which founders can we speak to without you arranging the call?

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18 How do your angel or prior-firm investments relate to this fund's strategy?

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19 How will you build the team, brand and processes (compliance, administration, audit) of a standalone firm?

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TEST 5 OF 8

## Fund construction

Does the fund fit the strategy?

SCORE

|   |   |   |   |   |
|---|---|---|---|---|
| 1 | 2 | 3 | 4 | 5 |
|---|---|---|---|---|

**What passes:** Earned ownership and a size planned around it

20 How did you arrive at this fund size, and what would make it too big?

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21 What ownership do you target at entry, and how do you earn it?

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22 How many companies will you back, and how many can each partner really support?

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23 What is your reserve strategy, and who decides where follow-on capital goes?

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24 How will the portfolio look five steps ahead: at fund three, or at exit?

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TEST 6 OF 8

# People

SCORE

Would I want you beside me in a crisis?

|   |   |   |   |   |
|---|---|---|---|---|
| 1 | 2 | 3 | 4 | 5 |
|---|---|---|---|---|

**What passes:** Behavior, not promises, that shows alignment

25 How do partners split economics and decisions, and how will that change as you grow?

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26 Who might you hire next, at what level, and how will they fit the culture?

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27 How much are the partners committing, and is it cash or a fee waiver?

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28 How large is the management fee budget relative to what the firm needs?

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29 Describe a decision the partners disagreed on. How was it resolved?

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TEST 7 OF 8

# The numbers

SCORE

What's behind the IRR?

|   |   |   |   |   |
|---|---|---|---|---|
| 1 | 2 | 3 | 4 | 5 |
|---|---|---|---|---|

**What passes:** Clean cash flows, conservative marks, a liquidity plan

30 Do you use a subscription credit line? Show IRR with and without it.

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31 What are TVPI, DPI and multiple of invested capital by fund, not just IRR?

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32 For each exit, how did the sale price compare with your last valuation?

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- 33 Which unrealized companies drive the value, and what are their growth and burn today?
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- 34 When do you expect to return capital, and what leading indicators support that?
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- 35 Have you sold partial positions, used secondaries or run a GP-led process? What's your policy?
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- 36 Does the liquidity of your portfolio match the liquidity of your LP terms?
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TEST 8 OF 8

## Conviction

Is this expertise or a trend?

SCORE

|   |   |   |   |   |
|---|---|---|---|---|
| 1 | 2 | 3 | 4 | 5 |
|---|---|---|---|---|

**What passes:** Evidence you were there before the theme got hot

- 37 When did you first invest in, research or write about your theme?
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- 38 Which founders and experts in the space would vouch for you?
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- 39 For each company in a hot theme, what is its moat, in one sentence?
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- 40 If your theme cooled, what would remain of your edge?
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# Compare managers

Copy each test score here. Look at the weakest test as closely as the total: one clear fail usually matters more than a high average.

| # | TEST                     | MANAGER A | MANAGER B | MANAGER C |
|---|--------------------------|-----------|-----------|-----------|
| 1 | Focus                    |           |           |           |
| 2 | Picking                  |           |           |           |
| 3 | Skill or luck            |           |           |           |
| 4 | Attribution              |           |           |           |
| 5 | Fund construction        |           |           |           |
| 6 | People                   |           |           |           |
| 7 | The numbers              |           |           |           |
| 8 | Conviction               |           |           |           |
|   | <b>Total (out of 40)</b> |           |           |           |

## Built from conversations with

**Tom Duffy** Director, Private Markets, TIFF

**Iren Reznikov** Partner, Vintage Investment Partners

**Hunter Somerville** Partner, StepStone Group

**Jessie Jia Guo** Investment Partner, Next Legacy Partners

**Ned Brines** Chief of Investment Strategy, Arnel & Affiliates

**Matt Curtolo** Former Institutional Allocator; LP/GP Advisor

**Aoifinn Devitt** Managing Director, Global Wealth, Moneta Group

**Slava Darkhaev** Head of VC Allocations, Single-Family Office

**Jeffrey Blazek** Co-CIO, Multi-Asset, Neuberger

**Dave White** Founder, Wayfinder Advisors; former MD, Cambridge Associates

**Lara Nuchowicz** Principal, AR Capital (Single-Family Office)

**Vishal Verma** Principal, Edgewood Ventures (Single-Family Office)

## Keep going

**The full playbook** [vc10x.com/playbooks/how-lps-evaluate-venture-fund-managers](https://vc10x.com/playbooks/how-lps-evaluate-venture-fund-managers)

**Venture Manager Scorecard** [vc10x.com/manager-scorecard](https://vc10x.com/manager-scorecard)

**Fundraising Readiness Audit** [vc10x.com/fundraising-audit](https://vc10x.com/fundraising-audit)

**LP Fit Audit** [vc10x.com/lp-fit-audit](https://vc10x.com/lp-fit-audit)

**Fund Performance Calculator** [vc10x.com/fund-performance-calculator](https://vc10x.com/fund-performance-calculator)

**Podcast** [youtube.com/@VC10X](https://youtube.com/@VC10X)

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